Appendix A

Reporting and Interpreting Investments in Other Corporations

Financial Accounting

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Learning Objectives

After studying this chapter, you should be able to:

A-1 Analyze and report investments in debt securities using the amortized cost and fair value methods.

A-2 Analyze and report passive investments in equity securities using the fair value method.

A-3 Analyze and report investments involving significant influence using the equity method.

A-4 Analyze and report investments in controlling interests.

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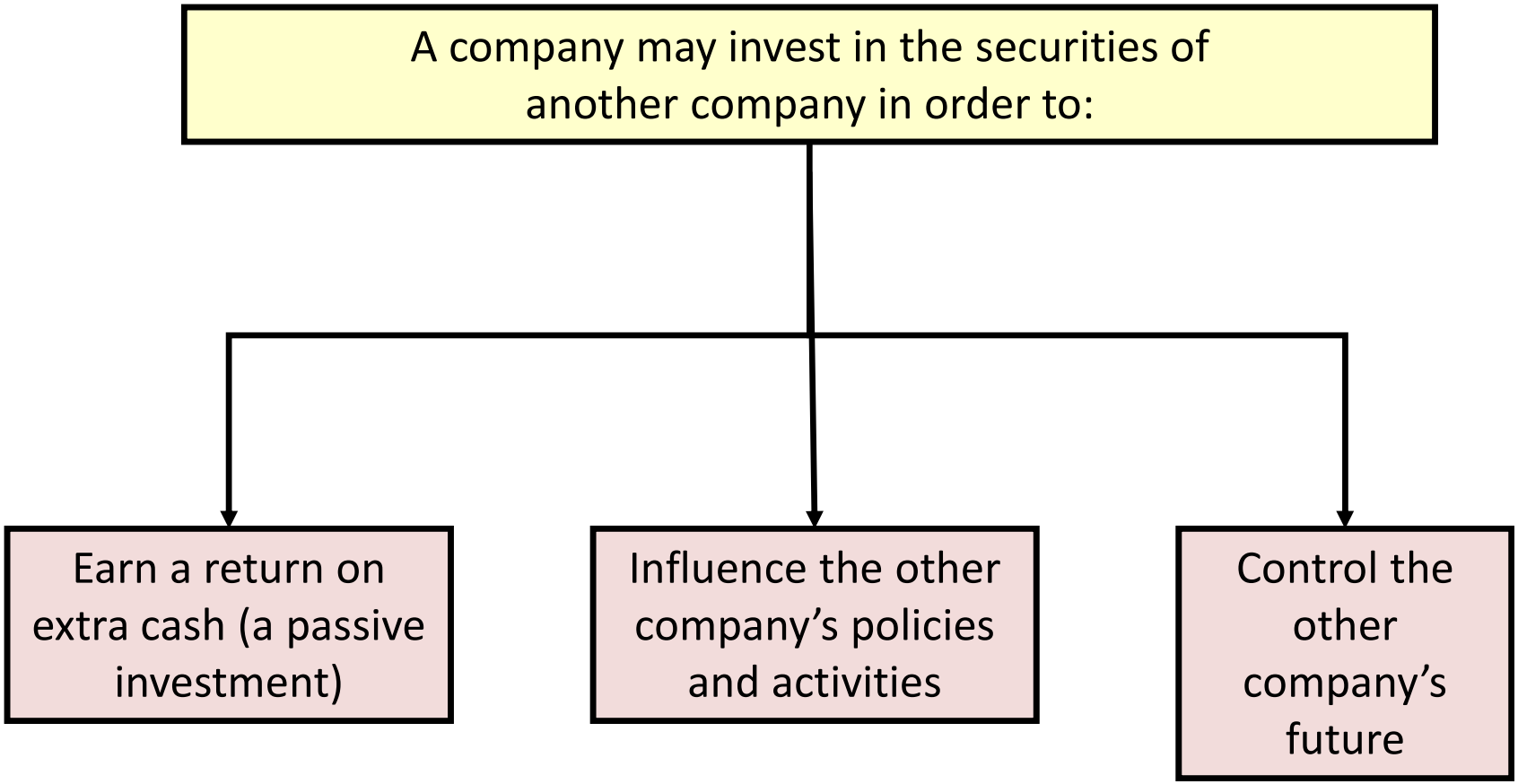
Understanding the Business (1 of 2)



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Understanding the Business (2 of 2)

Categories of Investments discussed in this Appendix A

Passive investments - Debt securities

- Held-to-maturity investments
- Trading securities
- Available-for-sale securities

Passive Investments - Equity securities

Investments in Stock for Significant Influence

Investments in Stock for Control

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Exhibit A.1 The Walt Disney Company Consolidated Balance Sheet (condensed)

THE WALT DISNEY COMPANY
Consolidated Balance Sheets
(in millions)

	September 30, 2023	October 1, 2022
ASSETS		
Current assets (*summarized*)	$ 32,763	$ 29,098
Produced and licensed content costs	33,591	35,777
Investments	3,080	3,218
Parks, resorts, and other property, net	34,941	33,596
Intangible assets, net	13,061	14,837
Goodwill	77,067	77,897
Other assets	11,076	9,208
Total assets	$ 205,579	$ 203,631
LIABILITIES AND EQUITY		
Current liabilities (*summarized*)	$ 31,139	$ 29,073
Long-term liabilities (*summarized*)	70,483	75,679
Equity:		
Common stock	57,383	56,398
Retained earnings	46,093	43,636
Accumulated other comprehensive loss	(3,292)	(4,119)
Treasury stock	(907)	(907)
Noncontrolling interests	4,680	3,871
Total equity	103,957	98,879
Total liabilities and equity	$ 205,579	$ 203,631

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Passive Investments in Debt and Equity Securities

Passive investments are made **to earn a return on funds** that may be needed for future short-term or long-term purposes. This category includes both investments in debt (bonds and notes) and equity (stock) securities.

Investments in **debt** securities are **always** considered **passive** investments because there is no ownership stake.

Held-to-maturity ***(amortized cost)***

Trading ***(fair value)***

Available-for-sale ***(fair value)***

Investments in **equity** securities are considered passive if the investing company owns less than **20 percent** of the outstanding voting shares and has no significant influence over the investee. ***(fair value)***

Tip **Under the Fair Value Method:** Investments in securities that do not have readily determinable fair value are reported at cost and assessed each period for impairment.

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Investments in Stock for Significant Influence

Investments are made with the intent of exerting **significant influence** over another corporation. ***Measured using the equity method.***

The ability of the investing company to have an important ***impact*** on the operating, investing and financial policies of another company.

Presumed if the investing company owns from 20 to 50 percent of the outstanding voting shares

Other factors may indicate significant influence such as membership on board of directors, etc.

Purpose of investments in stock for significant influence = To take an active role as an investor

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Investments in Stock for Control

Investments are made with the intent to exert **control** over another corporation.
*The **acquisition** method and **consolidation** used to combine the companies.*

Controls is the ability to determine the operating and financing policies of another corporation through ownership of voting stock.

Control is presumed when the investing company owns more than 50 percent of the outstanding stock of the company

Purpose of investments in stock for control = To achieve vertical integration, horizontal growth, or operational synergy

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Exhibit A.2 Summary of Measuring and Reporting Methods for Investments

EXHIBIT A.2 Summary of Measuring and Reporting Methods for Investments

	Investment in Debt Securities of Another Entity			Investment in the Voting Common Stock of Another Entity		
Investment Category	**Passive**			**Passive**	**Significant Influence**	**Control**
Level of Ownership	HELD-TO-MATURITY	TRADING	AVAILABLE FOR SALE	<20% of outstanding voting shares†	20–50% of outstanding voting shares‡	>50% of outstanding voting shares
Measuring and Reporting Method	**Amortized cost**	**Fair value** (through Net Income)	**Fair value** (through Other Comprehensive Income)	**Fair value** (through Net Income)	**Equity method**	**Acquisition accounting and consolidation**
Balance Sheet Classification	Noncurrent; amount maturing next year would be classified as current	Current	Current or noncurrent	Current or noncurrent	Noncurrent	N/A; financial statements are consolidated

†<20% of company's voting common stock; investor is presumed not to have significant influence. Includes investments in preferred stock and other equity securities that are nonvoting.

‡20–50% of a company's voting common stock is presumed to represent significant influence; however, there are exceptions, including (1) if below 20% ownership with evidence of interlocking directorates, use equity method and (2) if 20–50% ownership but unable to obtain financial information from affiliate, use fair value method.

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Learning Objective A-1

A-1 Analyze and report investments in debt securities using the amortized cost and fair value methods.

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Passive Investment in Debt Securities: Purchasing Debt Securities

A debt security (typically, a bond or note) may be purchased at the maturity amount (at **par**), for less than the maturity amount (at a **discount**), or for more than the maturity amount (at a **premium**). The total cost of the investment, including all incidental acquisition costs such as transfer fees and broker commissions, is debited to the Investments account.

Assume on October 1, 2026, **The Walt Disney Company** paid the *par value* of $150,000 for 6 percent bonds that mature on September 30, 2031. Interest at 6 percent per year is paid on March 31 and September 30.

The journal entry to record the purchase of the bonds is:

	Debit	Credit
Investments (+A)	150,000	
Cash (−A)		150,000

Assets		=	Liabilities	+	Stockholders' Equity
Investments	+150,000				
Cash	−150,000				

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Passive Investment in Debt Securities: Earning Interest Revenue

Because no premium or discount needs to be amortized (because the bonds were purchased at par), interest revenue of $4,500 ($150,000 × 0.06 × ½ year) is earned and received in cash on March 31, 2027, and again on September 30, 2027.

The following journal entry records the receipt of interest:

	Debit	Credit
Cash (+A)	4,500	
Interest revenue (+R, +SE)		4,500

Assets		=	Liabilities	+	Stockholders' Equity	
Cash	+4,500				Interest revenue (+R)	+4,500

This entry will be made every March 31 and September 30 during the period that Disney holds the bonds.

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Passive Investment in Debt Securities: Measuring and Reporting Investments

At the end of each fiscal year, measuring and reporting investments in debt securities depend on management's purpose.

Will the debt instruments be

- **Held to their maturity dates** (classified as either current or noncurrent investments depending on the maturity date),
- **Traded actively** over a short period of time (classified as current assets), or
- **Neither** held to maturity nor actively traded (classified as current or noncurrent investments based on management's intent)?

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Passive Investment in Debt Securities: Held To Maturity (1 of 2)

When management has the **intent** and **ability** to hold debt securities (bonds or notes) until their maturity date, they are considered **held-to-maturity investments**.

These investments are reported at cost adjusted for the amortization of any discount or premium (**amortized cost method**), not at their fair value.

No fair value adjusting entry is necessary at the end of the fiscal period.

When the bonds in the illustration mature on September 30, 2031, the journal entry to record receipt of the principal payment would be

	Debit	Credit
Cash (+A)	150,000	
Investments (−A)		150,000

Assets		=	Liabilities	+	Stockholders' Equity
Cash	+150,000				
Investments	−150,000				

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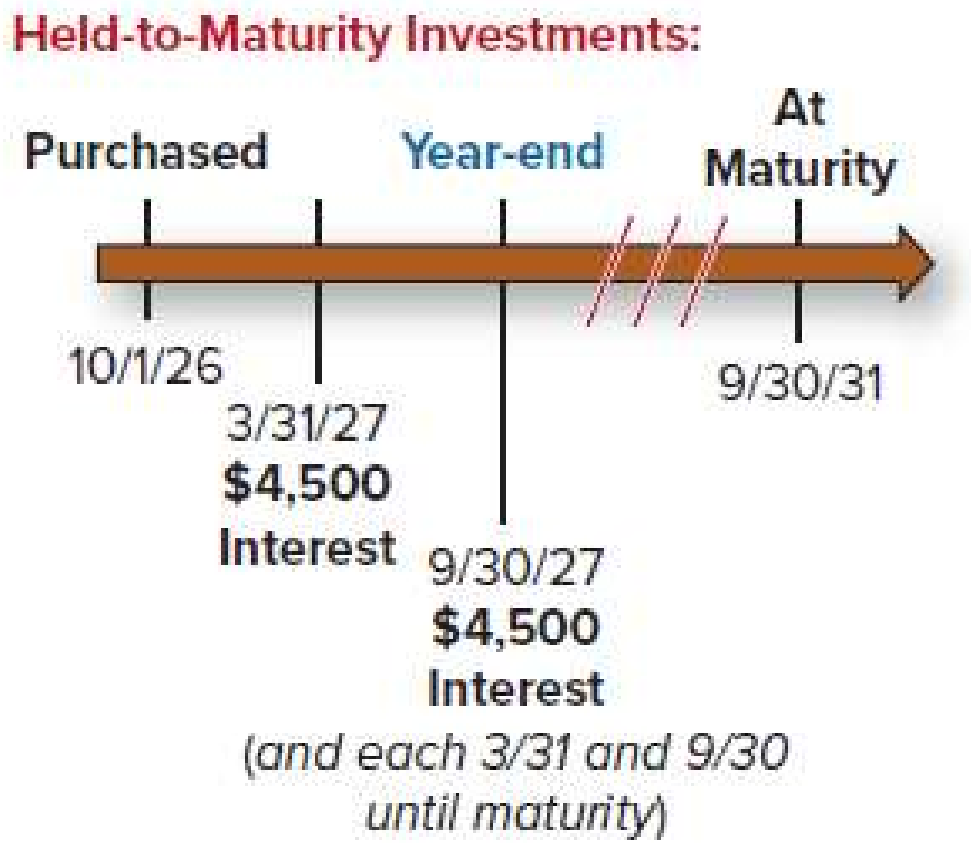
Passive Investment in Debt Securities: Held To Maturity (2 of 2)



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Passive Investment in Debt Securities: Actively Traded

Investments in debt securities that are actively traded over short periods of time are accounted for as **trading securities**.

- Trading securities with readily determinable market values are recorded by applying the **fair value method** and are reported as current assets on the balance sheet.
- At the end of each fiscal year, the trading securities portfolio is adjusted **up or down** to the portfolio's fair value.
  - Fair value is a security's current market value.
  - The adjusting journal entry will cause total assets to increase or decrease.
- The offsetting effect is reported **on the income statement as an unrealized gain or loss** (that is, the amount associated with the price change from holding the investment—no actual exchange transaction has been made).
- The unrealized gain or loss is subsequently closed to Retained Earnings to keep the balance sheet in balance.

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Passive Investment in Debt Securities: Actively Traded (1 of 5)

Let's illustrate the year-end valuation of trading securities by assuming **The Walt Disney Company** decides to actively trade its $150,000 investment in debt securities provided in the prior example.

Assume that

(1) Disney has no prior trading securities,

(2) the investment in debt securities has a fair value at the end of the fiscal year on September 30, 2027, of $140,000, and

(3) the investment is sold on September 30, 2028 (end of the next fiscal year), for $165,000.

First, compute the adjustment that is needed as demonstrated in the following table:

Fiscal Year Ending in	Fair Value	–	Book Value	=	Adjustment
2027	$140,000	–	$150,000	=	$(10,000)
2028	165,000	–	140,000	=	25,000

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Passive Investment in Debt Securities: Actively Traded (2 of 5)

At the end of fiscal year 2027 the unrealized loss of $10,000 is reported on the Income Statement. The adjusting entry to record the trading securities at fair value is:

	Debit	Credit
Unrealized loss (+E, −SE)	10,000	
Investments (−A)		10,000

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	−10,000				Unrealized loss (+E)	−10,000

Investments (Trading Securities)			
10/1/26 Purchase	150,000	**10,000**	9/30/27 AJE
9/30/27 Balance	140,000		

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Passive Investment in Debt Securities: Actively Traded (3 of 5)

When the securities are traded (sold) on September 30, 2028, there are **two** journal entries:

(1) Adjustment to fair value:

	Debit	Credit
Investments (+A)	25,000	
Unrealized gain (+R, +SE)		25,000

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	+25,000				Unrealized gain (+R)	+25,000

(2) Sale of trading securities:

	Debit	Credit
Cash (+A)	165,000	
Investments (−A)		165,000

Assets		=	Liabilities	+	Stockholders' Equity
Cash	+165,000				
Investments	−165,000				

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Passive Investment in Debt Securities: Actively Traded (4 of 5)

The following T account shows the effect of the entries on the Investment (Trading Securities) account:

Investments (Trading Securities)			
10/1/26 Purchase	150,000		
		10,000	9/30/27 AJE
9/30/27 Balance	140,000		
9/30/28 AJE	**25,000**	**165,000**	9/30/28 Sale
9/30/28 Balance	0		

- At the end of each fiscal year, the trading securities portfolio is adjusted **up or down** to the portfolio's fair value.
- The offsetting effect is reported **on the income statement as an unrealized gain or loss.**

Tip

Reminder: Losses and gains, including Unrealized Losses or Gains **on trading securities**, are components of net income and are closed to Retained Earnings at the end of the accounting year.

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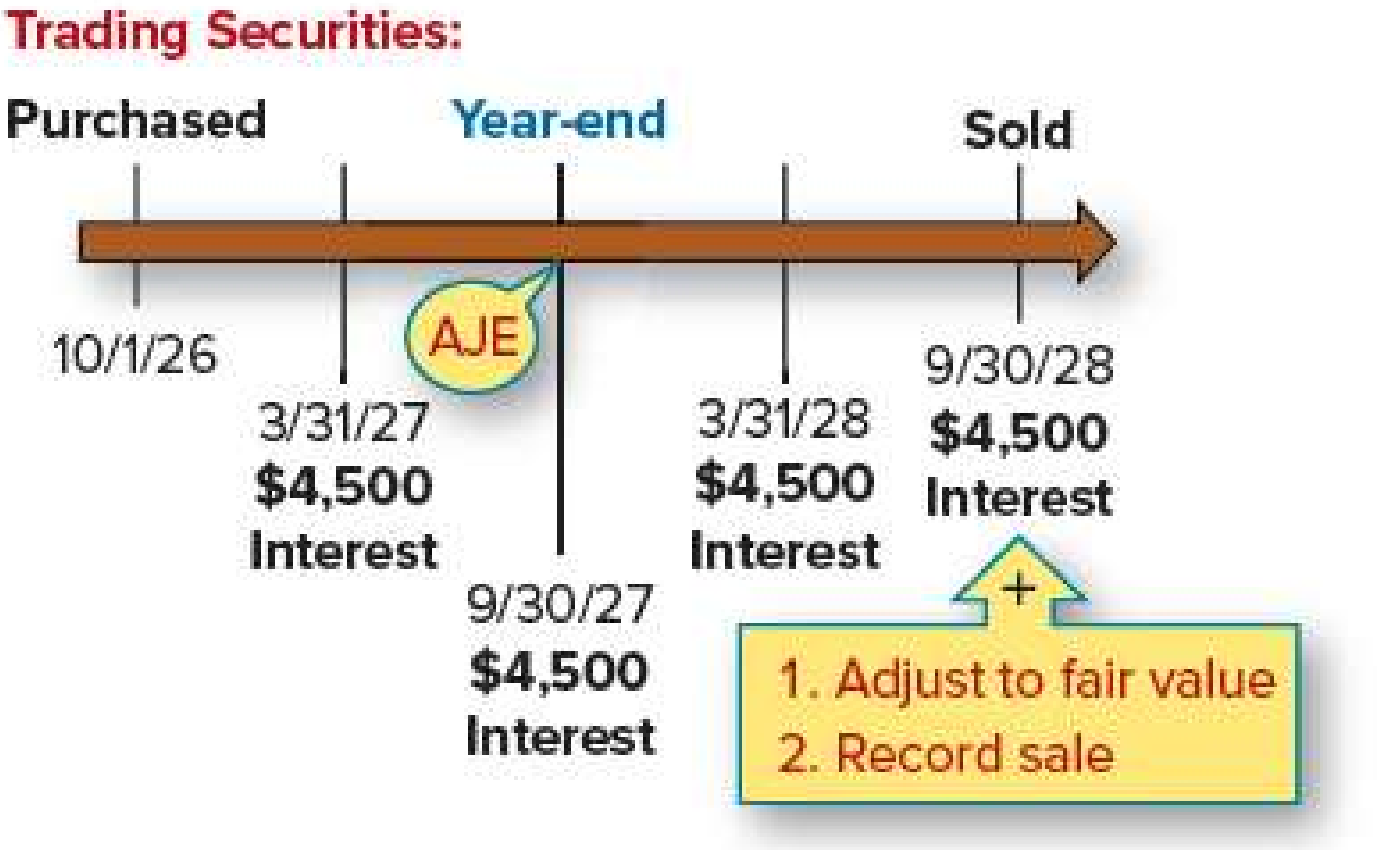
Passive Investment in Debt Securities: Actively Traded (5 of 5)



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Passive Investment in Debt Securities: Not Held to Maturity or Actively Traded (1 of 2)

If investments in debt securities are not held to maturity or traded actively, then, by default, the investments are considered **available-for-sale (AFS) securities**.

- Available-for-sale securities with readily determinable market values are reported at **fair value** and may be classified as current or noncurrent assets.
- The available-for-sale securities portfolio is adjusted **up or down** to the portfolio's **fair value.**
- The adjusting journal entry for the unrealized holding gain or loss is **not reported on the income statement, unlike the treatment for trading securities.**
  - Any **unrealized gain or loss** is recorded **as a component of Other Comprehensive Income on the Statement of Comprehensive Income.**

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Passive Investment in Debt Securities: Not Held to Maturity or Actively Traded (2 of 2)

- When a sale takes place, the investment portfolio is adjusted to fair value on the sale date. Then, the accumulated net unrealized gain or loss for those investments that are sold is reclassified out of Other Comprehensive Income and reported on the current period's income statement as **a realized gain or loss.**

Tip

Key difference: Any unrealized gain or loss is treated differently between:

- **Trading securities→ to Net Income** (which is closed to Retained Earnings)
- **Available-for-sale securities→ to Other Comprehensive Income** (which is a component of stockholders' equity)

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Passive Investment in Debt Securities: Not Held to Maturity or Actively Traded (1 of 6)

To illustrate the year-end valuation and then subsequent sale of available-for-sale debt securities, assume that The Walt Disney Company purchased its $150,000 in bonds at par and intends to hold the securities for a couple of years. Assume that

(1) Disney has no additional investment in available-for-sale securities;

(2) the investment in debt securities has a fair value at the end of the fiscal year on September 30, 2027, of $140,000, and

(3) the investment is sold on September 30, 2028 (end of the next fiscal year), for $165,000.

First, compute the adjustment that is needed as demonstrated in the following table:

Fiscal Year Ending in	Fair Value	–	Book Value	=	Adjustment
2027	$140,000	–	$150,000	=	$ (10,000)
2028	165,000	–	140,000	=	25,000
Balance in Other Comprehensive Income for these securities					$ 15,000

Balance before reclassification

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Passive Investment in Debt Securities: Not Held to Maturity or Actively Traded (2 of 6)

On September 30, 2027, the unrealized loss of $10,000 is reported on the Statement of Comprehensive Income. The adjusting entry to record the available-for-sale securities at fair value is

	Debit	Credit
Unrealized loss (−OCI, −SE)	10,000	
Investments (−A)		10,000

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	−10,000				Unrealized loss (−OCI)	−10,000

The unrealized loss for the available-for-sale securities does not affect net income. Instead, the $10,000 **unrealized loss** is recorded **as a component of Other Comprehensive Income on the Statement of Comprehensive Income.**

Investments (Available-for-Sale Securities)			
10/1/26 Purchase	150,000	10,000	9/30/27 AJE
9/30/27 Balance	140,000		

− Other Comprehensive Income (SE) +			
		0	10/1/26 Balance
9/30/27 AJE	10,000		
9/30/27 Balance	10,000		

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Passive Investment in Debt Securities: Not Held to Maturity or Actively Traded (3 of 6)

When the securities are traded (sold) on September 30, 2028, there are **three** journal entries. Here is the first entry:

(1) Adjust to fair value: The investment account is again adjusted to its fair value on the date of sale of September 30, 2028. In our illustration, the current fair value is $165,000 and the book value is $140,000. The adjustment is an increase to the investment account of $25,000 with the unrealized gain increasing Other Comprehensive Income (OCI).

	Debit	Credit
Investments (+A)	25,000	
Unrealized gain (+OCI, +SE)		25,000

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	+25,000				Unrealized gain (+OCI)	+25,000

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Passive Investment in Debt Securities: Not Held to Maturity or Actively Traded (4 of 6)

When the securities are traded (sold) on September 30, 2028, there are **three** journal entries. Here is the second entry:

(2) Reclassify the Other Comprehensive Income balance: The total net unrealized gain or loss accumulated in Other Comprehensive Income for the securities that are sold is reclassified as a **realized** gain or loss to be reported on the income statement. The realized gain is $15,000, equal to the difference between the original cost of $150,000 and the current fair value of $165,000. It also is equal to the net adjustments over the holding period in Other Comprehensive Income (($10,000) + $25,000).

	Debit	Credit
Unrealized gain (–OCI, –SE)	15,000	
Gain on sale of investments (+R, +SE)		15,000

Assets	=	Liabilities	+	Stockholders' Equity	
				Unrealized gain (–OCI)	–15,000
				Gain on sale of investments (+R)	+15,000

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Passive Investment in Debt Securities: Not Held to Maturity or Actively Traded (5 of 6)

When the securities are traded (sold) on September 30, 2028, there are **three** journal entries. Here is the third entry:

(3) Record the sale of the available-for-sale securities: Finally, the sale is recorded with the investments account decreased by its book value (equal to fair value after the adjustment in (1) above) and cash received of $165,000.

	Debit	Credit
Cash (+A)	165,000	
Investments (−A)		165,000

Assets		=	Liabilities	+	Stockholders' Equity
Cash	+165,000				
Investments	−165,000				

Investments (Available-for-Sale Securities)			
10/1/26 Purchase	150,000		
		10,000	9/30/27 AJE
9/30/27 Balance	140,000		
9/30/28 AJE	**25,000**	**165,000**	9/30/28 Sale
9/30/28 Balance	0		

− Other Comprehensive Income (SE) +			
		0	10/1/26 Balance
9/30/27 AJE	10,000		
9/30/27 Balance	10,000	**25,000**	9/30/28 AJE (1)
9/30/28 Reclass. (2)	**15,000**		
9/30/28 Balance	0		

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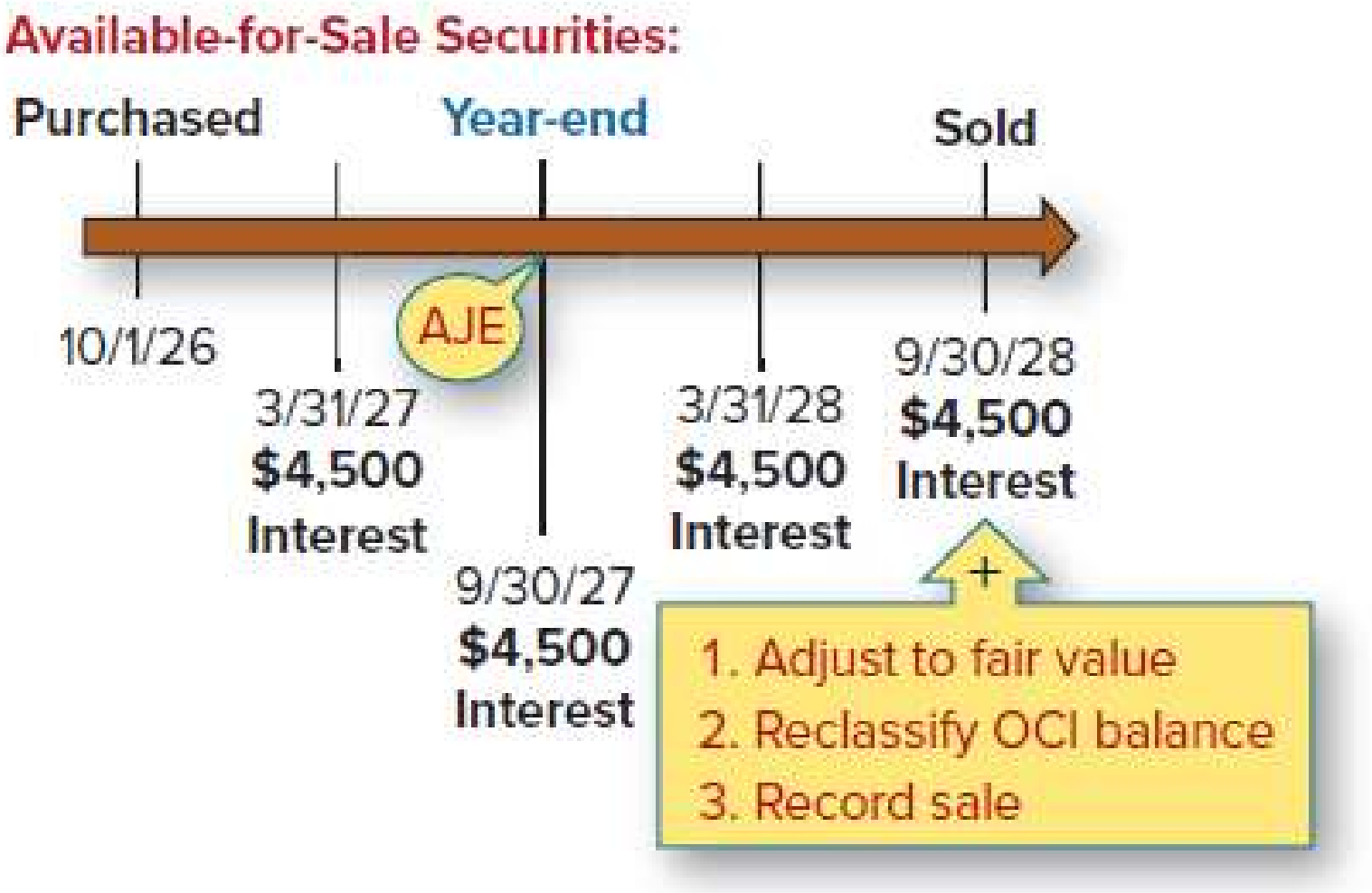
Passive Investment in Debt Securities: Not Held to Maturity or Actively Traded (6 of 6)



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Passive Investment in Debt Securities: Comparison of Financial Statement Effects of Using Fair Value

The following compares the effects on financial statements across years for trading securities and available-for-sale securities. Note that **the difference between the two portfolios is how unrealized gains and losses are reported.**

Ignoring income taxes		2027	2028
Trading Securities			
Balance Sheet	*Investments*	$140,000	$ 0 (Sold for $165,000)
	Retained earnings (effect, not balance)	(1,000)	34,000
Income Statement	*Interest revenue ($4,500 two times per year)*	9,000	9,000
	Unrealized gains (losses)	(10,000)	25,000
Available-for-Sale Securities			
Balance Sheet	*Investments*	$140,000	$ 0 (Sold for $165,000)
	Retained earnings (effect, not balance)	9,000	24,000
	Accumulated other comprehensive income	(10,000)	0
Income Statement	*Interest revenue ($4,500 two times per year)*	9,000	9,000
	Gain on sale of investments	–	15,000
Statement of Comprehensive Income	*Unrealized gains (losses)*	(10,000)	25,000
	Reclassification adjustment		(15,000)

Balance after reclassification

Net unrealized gain reclassified out of OCI and into income

Includes net income plus/minus other effects not on income statement

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Learning Objective A-2

A-2 Analyze and report passive investments in equity securities using the fair value method.

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Passive Investment in Equity Securities

When a company purchases and owns **less than 20 percent of the outstanding voting stock of another company**, the investment in these equity securities is usually considered passive.

Passive investments in equity securities, whether current or noncurrent, are reported **at fair value** with any year-end adjustments for **unrealized gains or losses reported in net income** (similar to the accounting for debt securities actively traded).

To illustrate accounting for investment in equity securities, assume that on October 1, 2026, **The Walt Disney Company** purchased 10 percent of the voting common stock of Green Light Pictures for $15 per share. Green Light, an independent film studio, has 100,000 shares of stock outstanding. In addition, the studio pays a dividend of $0.50 per share each year at the end of September, its fiscal year end.

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Passive Investment in Equity Securities: Purchasing Equity Securities & Earning Dividend Revenue

On October 1, 2026, **The Walt Disney Company** purchased 10 percent of the voting common stock of Green Light Pictures for $15 per share. The following journal entry is made to record the purchase of the stock:

	Debit	Credit
Investments (+A)	150,000	
Cash (−A)		150,000

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	+150,000					
Cash	−150,000					

Green Light pays a dividend of $0.50 per share each year at the end of September. The following journal entry records the receipt of dividends of $5,000 (10,000 shares × $0.50 per share):

	Debit	Credit
Cash (+A)	5,000	
Dividend revenue (+R, +SE)		5,000

Assets		=	Liabilities	+	Stockholders' Equity	
Cash	+5,000				Dividend revenue (+R)	+5,000

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Passive Investment in Equity Securities: Applying the Fair Value Method (1 of 6)

- Because Disney owns less than 20 percent of the outstanding voting common stock of Green Light Pictures, Disney accounts for its investment in equity securities by applying the **fair value method.**
- The equity investments portfolio is **increased or decreased each period** with the offsetting effect reported on the income statement as an **unrealized gain or loss** (from holding the investment).

Assume that
(1) Disney has no other investments in equity securities;
(2) the fair value of Green Light's common stock was $12 per share at September 30, 2027 ($120,000), and $16.50 per share at September 30, 2028 ($165,000); and
(3) Disney sold the stock portfolio on March 31, 2029, for $19 per share ($190,000) (before Green Light declared any dividends).
Compute the adjustment needed as demonstrated in this table:

Fiscal Year Ending in	Fair Value	–	Book Value	=	Adjustment
2027	$120,000	–	$150,000	=	$(30,000)
2028	165,000	–	120,000	=	45,000
2029	190,000	–	165,000	=	25,000

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Passive Investment in Equity Securities: Applying the Fair Value Method (2 of 6)

The adjustment needed to adjust Disney's investment in Green Light's stock to fair value is demonstrated in this table:

Fiscal Year Ending in	Fair Value	–	Book Value	=	Adjustment
2027	$120,000	–	$150,000	=	$(30,000)
2028	165,000	–	120,000	=	45,000
2029	190,000	–	165,000	=	25,000

The adjusting entry to record the investments in equity securities at fair value at the end of **Fiscal Year 2027** is:

	Debit	Credit
Unrealized loss (+E, –SE)	30,000	
Investments (–A)		30,000

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	–30,000				Unrealized loss (+E)	–30,000

Investments (Equity Securities)			
10/1/26 Purchase	150,000	30,000	9/30/27 AJE
9/30/27 Balance	120,000		

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Passive Investment in Equity Securities: Applying the Fair Value Method (3 of 6)

The adjustment needed to adjust Disney's investment in Green Light's stock to fair value is demonstrated in this table:

Fiscal Year Ending in	Fair Value	–	Book Value	=	Adjustment
2027	$120,000	–	$150,000	=	$(30,000)
2028	165,000	–	120,000	=	45,000
2029	190,000	–	165,000	=	25,000

The adjusting entry to record the investments in equity securities at fair value at the end of **Fiscal Year 2028** is:

	Debit	Credit
Investments (+A)	45,000	
Unrealized gain (+R, +SE)		45,000

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	+45,000				Unrealized gain (+R)	+45,000

Investments (Equity Securities)			
10/1/26 Purchase	150,000		
		30,000	9/30/27 AJE
9/30/27 Balance	120,000		
9/30/28 AJE	**45,000**		
9/30/28 Balance	165,000		

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Passive Investment in Equity Securities: Applying the Fair Value Method (4 of 6)

There are **two** entries to record the **sale of the investments in 2029:**

(1) Adjust to fair value: The current fair value is $190,000 and the book value is $165,000. The adjustment is an increase to the investment account of $25,000.

	Debit	Credit
Investments (+A)	25,000	
Unrealized gain (+R, +SE)		25,000

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	+25,000				Unrealized gain (+R)	+25,000

(2) Record the sale of the equity securities: The sale is recorded with the investments account decreased by its book value (equal to fair value after the adjustment in (1) above) and cash received of $190,000.

	Debit	Credit
Cash (+A)	190,000	
Investments (−A)		190,000

Assets		=	Liabilities	+	Stockholders' Equity
Cash	+190,000				
Investments	−190,000				

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Passive Investment in Equity Securities: the Fair Value Method (5 of 6)

The following T account shows the effect of the entries on the Investment (Equity Securities) account:

Investments (Equity Securities)			
10/1/26 Purchase	150,000		
		30,000	9/30/27 AJE
9/30/27 Balance	120,000		
9/30/28 AJE	45,000		
9/30/28 Balance	165,000		
3/31/29 AJE	**25,000**	**190,000**	3/31/29 Sale
9/30/29 Balance	0		

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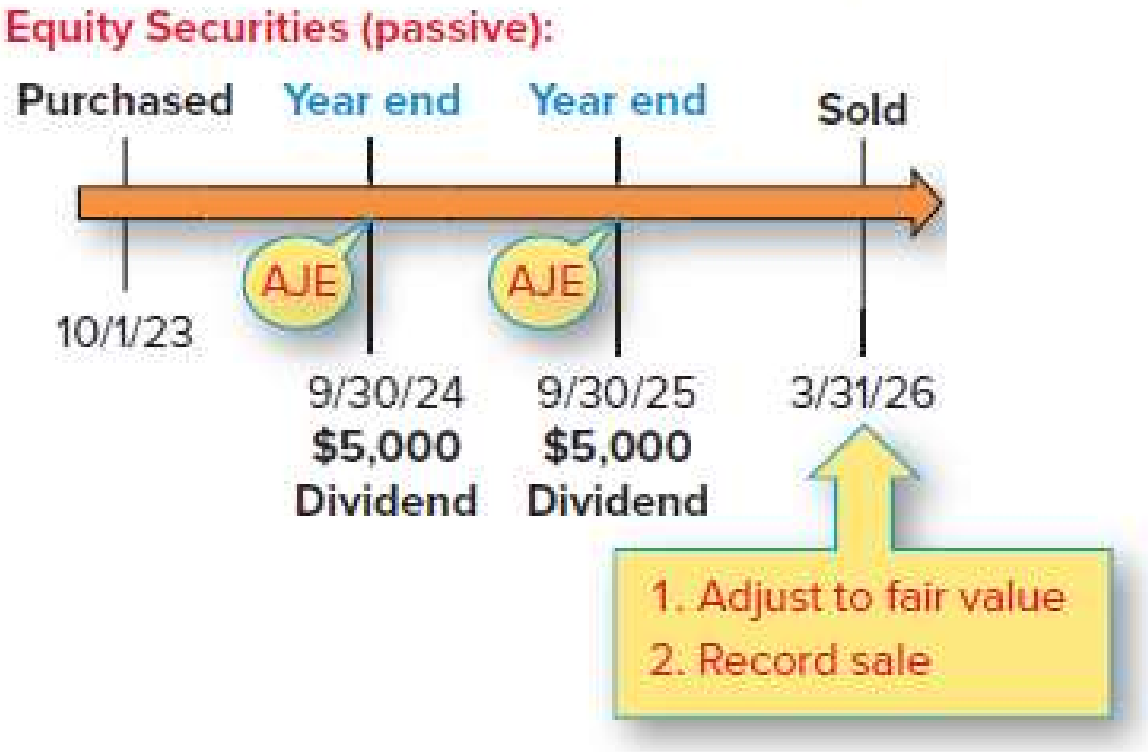
Passive Investment in Equity Securities: the Fair Value Method (6 of 6)



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Passive Investment in Equity Securities: Financial Statement Effects of Using Fair Value

The following summarizes the effects on financial statements across years for equity securities investments:

		2027	2028	2029
Equity Securities				
Balance Sheet	*Investments*	$120,000	$165,000	$ 0 (Sold for $190,000)
	Retained earnings (effect, not balance)	(25,000)	50,000	25,000
Income Statement	*Dividend revenue*	5,000	5,000	0
	Unrealized gains (losses)	(30,000)	45,000	25,000

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Accounting for Investments in Crypto Assets: Measurement Changes

FINANCIAL ANALYSIS

For fiscal years beginning after December 15, 2024, new measurement and disclosure rules are to be applied to crypto assets that meet the definition of an intangible asset.
Similar to accounting for passive equity investments, certain crypto assets (those that are fungible digital assets that meet the definition of an intangible asset) **are to be measured at fair value** with **changes in fair value recorded in net income** in each reporting period.

Until the new rules take effect, companies report cryptocurrency assets as intangible assets with indefinite useful lives that **are measured at cost net of any impairment losses.**

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Learning Objective A-3

A-3 Analyze and report investments involving significant influence using the equity method.

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Investments for Significant Influence: Equity Method (1 of 2)

An investor may want to **exert influence** (presumed by owning **20 to 50 percent** of the outstanding voting stock) without becoming the controlling shareholder (presumed when owning more than 50 percent of the voting stock).

Examples follow:

- A retailer may want to influence a manufacturer to be sure that it can obtain certain products designed to its specifications.
- A manufacturer may want to influence a computer consulting firm to ensure that it can incorporate the consulting firm's cutting-edge technology in its manufacturing processes.
- A manufacturer may recognize that a parts supplier lacks experienced management and could prosper with additional managerial support.

The **equity method** must be used when an investor can exert **significant influence over an affiliate.**

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Investments for Significant Influence: Equity Method (2 of 2)

The **equity method** must be used when an investor can exert **significant influence over an affiliate.**

- The investor's 20 to 50 percent ownership of a company presumes significant influence over the affiliate's process of earning income.

The investor reports its portion of the affiliate's net income **as its income** and increases the investment account by the same amount.

The receipt of dividends by the investor is treated as a reduction of the investment account, **no effect on net income**.

+ Investments (in Affiliates) (A) –	
Beginning balance • Purchases of investments	• Sales of investments
• Company's % share of affiliate's net income *(credit Equity in investee earnings* ↑ **income)**	• Company's % share of affiliates' net losses *(debit Equity in investee losses* ↓ **income)**
	• Company's share of affiliate's dividends declared for the period *(debit Dividends Receivable* **No effect on income)**
Ending balance	

The Investments account is reported on the balance sheet as a **long-term** asset. The balance does not reflect either cost or fair value.

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Investments for Significant Influence: Equity Method Purchase of Stock

In early 2027, Disney purchased a 40 percent interest in Green Light Pictures for $400,000 in cash (40,000 shares of the 100,000 outstanding voting common stock).

	Debit	Credit
Investments (+A)	400,000	
Cash (−A)		400,000

Assets		=	Liabilities	+	Stockholders' Equity
Investments	+400,000				
Cash	−400,000				

- Disney was presumed to have significant influence over the affiliate.
- Therefore, Disney must use the equity method to account for this investment.
- The purchase of the asset would be recorded at cost.

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Investments for Significant Influence: Equity Method Earnings of Affiliates

During the fiscal year ending in 2027, Green Light Pictures reported a net income of $500,000 for the year. The Walt Disney Company's percentage share of Green Light's income is $200,000 (40% × $500,000) and is recorded as follows.

	Debit	Credit
Investments (+A)	200,000	
Equity in investee earnings (+R, +SE)		200,000

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	+200,000				Equity in investee earnings (+R)	+200,000

- The investor company bases its investment income on the affiliates' earnings rather than the dividends affiliates declare.
- If the affiliates report a net loss for the period, the investor records a loss by decreasing the investment account and recording Equity in Investee Losses.
- The Equity in Investee Earnings (or Losses) is reported in the Other Items section of the income statement.

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Investments for Significant Influence: Equity Method Dividends Declared

During the fiscal year ending in 2027, Green Light declared a cash dividend of $0.50 per share to stockholders. Disney will receive $20,000 ($0.50 × 40,000 shares) from Green Light in the future.

	Debit	Credit
Dividends receivable (+A)	20,000	
Investments (−A)		20,000

Assets		=	Liabilities	+	Stockholders' Equity
Dividends receivable	+20,000				
Investments	−20,000				

- Any dividends declared by the affiliate should **not** be recorded as investment income.
- Dividends declared by the affiliate **reduce the investment account**.

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Investments for Significant Influence: Equity Method Summary

In summary, the effects for the fiscal year ending September 30, 2027, are reflected in the following T-accounts:

Investments (in Affiliates) (A)			
9/30/26 Balance	0		
2027 Purchase	400,000		
2027 Share of affiliate's earnings	200,000	20,000	2027 Share of affiliate's dividends
9/30/27 Balance	580,000		

Equity in Investee Earnings (R)			
		0	10/1/26 Balance
		200,000	2027 Share of affiliate's earnings
		200,000	9/30/27 Balance

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Reporting Investments under the Equity Method

Reported on the balance sheet as a long-term asset, originally at cost. However, after the investment purchase, the investment account **does not reflect either cost or fair value.**

Account is increased by the cost of shares that were purchased and the proportional share of the affiliates' net income.

Account is reduced by the proportional amount of dividends declared from affiliate companies, the proportional share of affiliates' net losses, and the cost of any shares that were sold.

Do not adjust the investment account to reflect changes in fair value.

If sold, any gain or loss is reported in the income statement in the Other Items section.

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Transaction Structuring: Selecting Accounting Methods for Minority Investments

FINANCIAL ANALYSIS

Managers may be able to structure the acquisition of stock in a manner that permits them to use the accounting method that they prefer.

Most managers prefer to minimize variations in reported earnings. If a company were planning to buy stock in a firm that reported large earnings in some years and large losses in others, it might want to use the fair value method to avoid reporting its share of the affiliate's earnings and losses.

Auditors will review management's application of the fair value and equity methods for investments near the 20 percent ownership level to determine if the proper method was used because significant influence still may be present.

Analysts who compare several companies must understand management's reporting choices and the way in which differences between the fair value and equity methods can affect earnings.

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Investments

FOCUS ON CASH FLOWS

The fair value method and the equity method affect net income but not cash flow. These items require adjustments under the indirect method when converting net income to cash flows from operating activities.

EFFECT ON THE STATEMENT OF CASH FLOWS	
	Effect on Cash Flows
Operating Activities	
Net income	$xxx
Adjusted for	
Gains/losses on sale of investments	−/+
Net unrealized holding gains/losses on trading and passive equity securities	−/+
Equity in investee earnings/losses	−/+
Dividends received from affiliated companies	+
Investing Activities	
Purchase of investments	−
Sale of investments	+

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Learning Objective A-4

A-4 Analyze and report investments in controlling interests.

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Controlling Interests: Mergers and Acquisitions

The following are some of the reasons for acquiring control of another corporation:

Horizontal growth

Vertical integration

Synergy

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Recording a Merger

Merger is when one company purchases all of the assets and liabilities of another and the acquired company goes out of existence as a separate corporation

The **acquisition method** is the only method allowed by U.S. GAAP and IFRS for recording a merger or acquisition.
It requires that the purchased assets and liabilities be recorded by the purchaser at their **fair value** on the date of the merger.

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Purchase Price Allocation

The acquiring company must go through a two-step process, often called **purchase price allocation,** to determine how to record the acquisition.

Step 1: Estimate the fair value of the acquired company's tangible assets, identifiable intangible assets, and liabilities. This includes all assets and liabilities, regardless of whether and at what amount they were recorded on the books of the acquired company.

Step 2: Compute goodwill, the excess of the total purchase price over the fair value of the acquired assets minus any assumed liabilities listed in Step 1.

Tip

Reminder → Goodwill was already defined and discussed in Chapter 8; it is an intangible asset and is computed as follows:

Purchase price	
–Fair value of acquired assets minus assumed liabilities	
Goodwill	

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Recording a Merger (1 of 2)

The Walt Disney Company acquires all of the assets and liabilities of Green Light Pictures for $1,000,000 cash. Green Light owned two assets and one liability with fair values of $950,000 and $100,000, respectively.

The two-step purchase price allocation is shown below:

Step 1: Estimate the fair value of the acquired company's tangible assets, identifiable intangible assets, and liabilities.

Fair value of Green Light's –	Equipment	$350,000	$950,000 total assets
	Patents	600,000	
	Note Payable	100,000	

Step 2: Compute goodwill as follows:

Purchase price for Green Light	$1,000,000
Less: Fair value of assets ($950,000) minus liabilities ($100,000)	850,000
Premium paid above fair value (recorded as goodwill)	$ 150,000

*Note: The **book values** on the acquired company's balance sheet are **irrelevant** unless they represent fair value.*

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Recording a Merger (2 of 2)

Disney would account for the merger by recording the assets and liabilities purchased and reducing cash for the amount paid as follows:

	Debit	Credit
Equipment (+A)	350,000	
Patents (+A)	600,000	
Goodwill (+A)	150,000	
Notes payable (+L)		100,000
Cash (−A)		1,000,000

Assets		=	Liabilities		+	Stockholders' Equity
Equipment	+350,000		Notes payable	+100,000		
Patents	+600,000					
Goodwill	+150,000					
Cash	−1,000,000					

- Goodwill is reported only if it is acquired in a merger or acquisition transaction.
- After a merger, the purchasing company will treat the acquired assets and liabilities in the same manner as if they were acquired individually.

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Disney Buys Fox

FINANCIAL ANALYSIS

- In March 2019, **The Walt Disney Company** (the world's largest media conglomerate) completed a major acquisition of **21st Century Fox** (the world's third largest media conglomerate, now renamed **TFCF Corporation**).
- Disney purchased most of Fox's assets, with a fair value of $74.2 billion, and assumed $53.8 billion in liabilities for $69.5 billion in stock and cash.
- The purchase price exceeded the fair value of the net assets acquired by $49.1 billion—all allocated to goodwill.

The Disney-Fox deal was expected to provide cost-saving synergies of at least $2 billion.

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Reporting for the Combined Companies Consolidated Financial Statements

- When a company acquires another, and both companies continue their separate legal existence, **consolidated financial statements** must be presented.
  - The **parent** company is the company that gains control over the other company.
  - The **subsidiary** company is the company that the parent acquires.
  - When the parent buys 100 percent of the subsidiary, the resulting consolidated financial statements look the same as they would if the companies were combined into one in a simple merger as discussed earlier.

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Appendix Supplement: Held-to-Maturity Bonds Purchased at Other Than Par Value—Amortized Cost Method (1 of 2)

On the date of purchase, a bond may be acquired at the maturity amount (at par), for less than the maturity amount (at a discount), or for more than the maturity amount (at a premium). *The discount, or premium, is amortized over the life of the investment.* The total cost of the bond, including all incidental acquisition costs such as transfer fees and broker commissions, is debited to the Held-to-Maturity Investments account.

On October 1, Year 1, **The Walt Disney Company** paid $92,278 cash for an 8 percent, 5-year $100,000 bond that paid interest semiannually (on March 31 and September 30). Each semiannual payment is $4,000 ($100,000 × 0.08 × ½ year). The bond's yield was 10 percent. The $92,278 represents the present value of the bond on the purchase date.

The journal entry to record the purchase of the bonds is:

	Debit	Credit
Investments (+A)	92,278	
Cash (−A)		92,278

Assets		=	Liabilities	+	Stockholders' Equity
Investments	+92,278				
Cash	−92,278				

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Appendix Supplement: Held-to-Maturity Bonds Purchased at Other Than Par Value—Amortized Cost Method (2 of 2)

The journal entry to record the receipt of interest on March 31, Year 2 (the first interest payment date) is:

	Debit	Credit
Cash (+A)	4,000	
Investments (+A)	614	
Interest revenue (+R, +SE)		4,614

Assets		=	Liabilities	+	Stockholders' Equity	
Investments	+4,000				Interest revenue (+R)	+4,614
Cash	+614					

- The balance of the Investments account after this first receipt of interest on March 31, Year 2, is $92,892 ($92,278 + $614), which will be the book value of the bond used in determining interest revenue on the next payment date of September 30, Year 2.
- If the bond investment must be sold before maturity, any difference between market value on the date of sale and net book value would be reported as a gain or loss on sale.

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